

**ANSWERS TO FREQUENTLY ASKED QUESTIONS
ABOUT
THE CLIFTON PARK TRUST AND THE CLIFTON PARK TRUSTEES
-- Revised March, 2014 --**

1. Introduction

A very special facet of Clifton Park centers on property that is owned by a Trust created in 1912 for the benefit of the Clifton Park lot owners. That property includes Clifton Beach, Beach Road (running down the hill, along the Beach and around Clifton Lagoon), the triangular parcels at the Lake Road entrance to the Park and in front of the Clifton Club, Banks Park, property next to Sloane Subway and a lane between West Clifton and Forest Roads and a lane leading from Lake Rd. to stairs to the Beach. The 1912 Clifton Park Trust Deed directed the Trustees “to hold title to and preserve all of the land deeded to them” and “establish regulations for the use of” the property. It provided that the Trust be administered by five residents of Clifton Park. These individuals, constituting the Clifton Park Board of Trustees, are charged with the responsibility of preserving and maintaining the Trust property and are authorized to obtain the monies necessary from an annual assessment on all Park lot owners. The Trustees serve without compensation for life, unless they resign, move out of the Park or pass away. The Trust has 501 (c) (7) nonprofit tax status.

The text of the 1912 Trust can be found on the Trustees’ website at www.cliftonparktrustees.org.

2. Who makes decisions regarding the Trust properties?

As the owners, only the Clifton Park Trustees are legally permitted to make and execute decisions for any and all aspects concerning the preservation, maintenance, improvement, and regulation of the Trust properties. While acting in the best interests of the Trust beneficiaries, the Trustees are not required to obtain the consent or votes of beneficiaries except in two specific instances: when lot owners want to make improvements, or “embellishments”, beyond those that the Trustees are bound to make, on the Trust properties or the Trustees elect to sell or dedicate to public use Trust properties.

3. Who are the Trust beneficiaries?

The beneficiaries of the Clifton Park Trust are the owners of lots in Clifton Park. The Clifton Club is a lot owner and thus is a beneficiary.

4. How do the Trustees regulate use of Clifton Beach?

Annually before the beginning of the summer season the Trustees publish and distribute to the beneficiaries “Clifton Beach Rules,” which regulate access to and use of the Beach and its facilities. As an example, for 2012 the Trustees established new rules for behavior at and access to the Beach in response to issues raised by beneficiaries about overcrowding. Due to the success of these new rules, they were continued in 2013, and will be continued in 2014.

5. Do the Trustees control access to the Beach?

The Clifton Park Trustees control access to the privately-owned Clifton Beach by maintaining security guards at the entrance to the Beach to check visitors and issuing a limited number of vehicle stickers to lot owners and permitted Clifton Club members.

6. Why are Clifton Club members permitted access to the Beach?

The Clifton Club, which owns four lots, is a beneficiary of the Trust. The 1902 lease of the lots to the Clifton Club and the 1912 deed conveying title to the lots to the Club provides the Club with Beach access rights, which they have been exercising for over one hundred years. In recognition of this right, the Club annually contributes a significant amount of money to the Trust for its operations.

7. Are there limits on the number of Clifton Club members who can access the Beach?

The Trustees establish the number of Club members who can access the Beach. For the 2013 season the Trustees limited the Clifton Club Beach access to 224 members (the Club has more than 224 members but only 224 are permitted to have Beach access). Even if the number of Club members grew to an “unlimited” number, the Trustees can and will reasonably limit the number of Club members with Beach access.

8. What rights do residential lot owners have that the Clifton Club as a non-residential lot owner does not have?

The Trust establishes that only residential lot owners can serve as Clifton Park Trustees. This is the only distinction between residential lot owners and the Clifton Club as a lot owner set forth in the 1912 Trust Deed.

9. Why did the Trustees hire legal counsel?

The Clifton Park Trustees have a fiduciary responsibility to protect and defend the Trust. Accordingly, when some residents threatened to legally challenge the 100 year practices of the Trustees with respect to the relationship with the Clifton Club, the Trustees were compelled to seek the counsel of attorneys with expertise in trusts and real estate matters. After interviewing and considering three law firms, in March 2012, the Trustees selected Ulmer Berne LLP and initially requested that they review the foundational documents and the 100 year relationship of the Trust and the Club to determine compliance with the terms of the Trust.

10. What are the implications of the lawsuit against the Clifton Club?

The legal action filed against the Clifton Club, on June 6, 2012, initially by Nancy Binder, Arthur P. Dueck, Todd Gilmore, and William R. Keller, and joined recently by Rhonda Loje and Jeff Mansell, is a lawsuit that has the potential to significantly disrupt the 100 year relationships of friendship and finances. The plaintiffs threw overboard the century-old tradition of working out controversies among the lot owners, the Trustees and the Club and asked a third party, the Probate Court, to decide the issues they raised. This is a lawsuit not merely requesting an interpretation of the Trust.

As stated in the plaintiffs' complaint, they seek, among other matters, a court judgment that "the Members of the Clifton Club who are not subplot owners are not beneficiaries under the Deed of Trust; the Members of the Clifton Club who are not subplot owners have no legal right to use Trust property (including the Beach); and that the provision of the Clifton Club deed dated July 1, 1912 allowing the use of Trust property by the Members of the Clifton Club who are not subplot owners (including the Beach) in contradiction to the then-existing Deed of Trust is null and void." If the Judge decided that the Club members could no longer use the Beach, the Club obviously would not make its annual contribution to the Trustees, creating an extraordinary economic hardship for the Trustees, who would be compelled to curtail operations significantly or increase assessments.

11. Why did the Trustees enter a friend of the court brief?

The Trustees were advised to file a friend of the court brief (1) because the Plaintiffs failed to make the Trustees part of the lawsuit and (2) to be involved in any decision regarding the use of the property that the Trustees own and control. The Trustees were advised that if a decision were to be made by the court without their involvement, they would be vulnerable to a lawsuit for not being involved, i.e., for neglecting fiduciary responsibilities to the other lot owners and allowing increased financial burden to residential lot owners. On October 12, 2012, the Trustees entered their friend of the court brief in response to the legal advice mentioned above. This does not mean that the Trustees are "picking sides" in the lawsuit. It does mean that the Trustees will exercise their rights under the Trust as well as their fiduciary duty to be guardians of property that they own and manage for the beneficiaries. (Would any lot owner stand by and allow two other parties to argue in court about the use of his/her property?)

12. Who pays for the legal costs?

The cost of defending the Trust on behalf of the beneficiaries initially was part of the Trustees' operating budget. This meant that funds used for legal expenses were not available for maintenance activities. After the lawsuit was filed, the Trustees' insurer agreed to pay for the costs of the Trust's legal defense, subject to the insurer's reservation of rights to contest its defense obligations at a later time. Because of the complexity of the issues raised and the fact that the plaintiffs requested a jury trial, the lawsuit could be quite expensive for all parties.

13. What is the relationship of the Lagoon Trustees to the Clifton Park Trustees?

The Lagoon Trustees administer a separate trust agreement established for the maintenance and operations of the Lagoon common properties. The Clifton Park Trustees have had a longstanding and cooperative relationship with the Lagoon Trustees. The Lagoon Trustees

provide financial support for the operations of the Beach. The amount of support is determined annually.

14. What is CBIA?

The Clifton Beach Improvement Association, or CBIA, was organized in 1948 as an unincorporated association to “promote the general welfare of the property ...known as Clifton Beach.” It had a twofold objective: raise funds to make periodic capital improvements at the Beach and develop social programs, “drawing Clifton Club and Clifton Park people into central community activities.” (Blythe Gehring, *Vignettes of Clifton Park*, 1970, p. 39). The Association’s governing document called for Board of nine Trustees consisting of 3 Clifton Park lot owners, 3 Clifton Club members and 3 members who were both lot owners and Club members. The Board eligibility requirements changed somewhat over the years, eliminating the dual lot owner and Club member categories and adding Lagoon residents.

During its sixty-plus years of existence, CBIA accomplished its fund-raising and social objectives by following four key principles:

- An exclusive focus on Clifton Beach activities,
- A close working relationship with the Trustees,
- A Board membership inclusive of the three populations with access to the Beach (Clifton Park residents, Clifton Club members and Lagoon residents), and
- Operating as an unincorporated association in order to minimize administrative costs and burdens.

During the years of 1999 through 2010, CBIA funded beach improvement projects that totaled approximately \$134,444 and included the creation of the unisex/ADA restroom, mens room renovation, the ADA access ramp on the east side of the beach house, the west deck under the patio pavilion, the west entry door into the beach house, the renovation of the womens restroom, the original adirondack chairs, design services of architects, landscape architects and engineers as necessary for project development and approval, and the acquisition of the beach rake. The funds for these projects were raised with the cooperative active involvement of Clifton Club members as well as Clifton Park residents and Lagoon residents working in collaboration with the Trustees.

15. What is CBIA, Inc.?

In January, 2011 a group of Park residents, including several members of the Board of CBIA organized “Clifton Beach Improvement Association, Inc.”, a non-profit Ohio corporation. Notwithstanding the similarity of its name with CBIA, CBIA, Inc. has a different mission, scope and governance than CBIA. CBIA, Inc., as a corporate entity, is not a beneficiary or a part of the Clifton Park Trust, and has no legal or required role in Clifton Park Trust or beach matters.

16. Why did CBIA, Inc. file a lawsuit against the Trustees on October 2, 2013?

CBIA, Inc., whose Board members are Nancy Binder, Jean Bjorn, Paul Bjorn, Marylyn Butler, Arthur Dueck, Tom Feser, John Forgetta, Rhonda Loje and Constance Mansell, alleges in its complaint that the Trustees misspent funds entrusted to it by CBIA, the unincorporated association, between the years 1999 and 2010, which pre-dated CBIA, Inc. There were no misspent or mishandled funds. The Trustees, with the assistance of their counsel, have properly accounted for all the funds in question. The suit is scheduled for trial in December, 2014 in the Cuyahoga Common Pleas Court. The Trustees' insurer agreed to pay for the costs of the Trustees' legal defense, subject to the Insurer's reservation of rights to contest its defense obligations at a later date.

17. Who are the "Friends of Clifton Beach" and what is their relationship to the Trustees?

In early 2013, an informal group consisting of several Park residents, Lagoon residents and Clifton Club members approached the Trustees with a plan to improve the area of the beach north and east of the Beach House. They discussed a number of possibilities and ended up developing a plan that looked easy to implement and maintain. This group calls itself the Friends of Clifton Beach. To the Trustees' knowledge this is an informal group.

The Friends of Clifton Beach project was approved using the Trust Deed process. All of the costs of the project were provided by the Friends of Clifton Beach and the project was installed in the late summer and has resulted in an attractive new picnic area for the enjoyment of the beneficiaries.

18. Have the current Trustees changed the relationship with the Clifton Club as alleged?

No, except that as a result of the beach overcrowding issues, the Trustees have further limited the number of Clifton Club members who can access the beach.

19. Will there be any changes to the Beach Rules for 2014?

For 2014 the Trustees added rules prohibiting fire balloons and allowing licensed scooters to park at the beach without vehicle stickers, provided that they park in a designated parking area. The 2014 Beach Rules will be included in the March mailing with assessment invoices.